the fullest possible service in the most suitable manner'[2] and remove some 'unsatisfactory' features of the bank's working without nationalizing it. In fact Chetty had made a reference to Deshmukh much before his announcement of February 4, 1948, asking for his views on the subject. Deshmukh was in favour of waiting 'for a year or two' but Chetty made the announcement succumbing to pressure from the Congress party.

Deshmukh also discussed the matter with A.R. Chisholm, the Managing Director of the Imperial Bank who pointed out that there was nothing to be said in favour of State control of the bank and this line of action if persisted with would ruin the bank. The Board of the bank discussed the issue in April 1948 and passed a resolution that nationalization was totally unjustified and that no material benefit could be expected to accrue to government, the country, and the shareholders from such action. Before the meeting, Chisholm had circulated a memorandum in which he outlined the various difficulties they would face and also drew the attention of the Board to the many offices in Peshawar, Ceylon, and Burma—all of which contributed to the bank's profits.

The views of the Imperial Bank's Board were communicated to the government through Deshmukh who in a memorandum for the RBI Board wrote that the nationalization would be a serious mistake with nothing to be gained and much likely to be lost.[3] Deshmukh's views were echoed by K.G. Ambegaokar, Additional Secretary in the Finance Ministry. There was a growing feeling that assumption of necessary powers under the existing Act would be sufficient, leading Matthai to make the statement already adverted to above about the unsettled economic climate and the effect on the investment market. Chisholm also quoted Sardar Patel who had said that government 'had neither the capacity nor the means to undertake nationalization of any industry at present.'[4] The matter died down at that time but the demand for nationalization continued and led to the appointment of the Rural Banking Enquiry Committee (RBEC) under Purshotamdas in November 1949. The need for pooling the savings of the rural areas to make them available for increasing production had assumed importance after the devaluation of the rupee in 1949 and the government had decided that one of the best ways of stimulating investment was through the extension of banking facilities in rural areas. The RBEC was